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VANGUARD

2023 Fourth Quarter Results

Investor Conference

February 2, 2024

Agenda

- Welcome
- 4Q23 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

4Q23 Result Highlights

Amount : NT$ Million	4Q23	3Q23	4Q22
	Amount	Amount	Amount
Net Revenue	9,674	10,557	9,573
Net Income	2,388	1,623	2,479
EPS (NT$)	1.44	0.98	1.47
Cash and Financial Instruments	38,050	33,986	34,843
Equity	45,713	43,989	45,351
Total Wafers Shipped (Kpcs)	489	538	441

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	4Q23		3Q23		4Q22		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	9,674	100.0	10,557	100.0	9,573	100.0	(8.4)	1.1
Cost of Revenue	(7,446)	(77.0)	(7,757)	(73.5)	(5,819)	(60.8)	(4.0)	28.0
Gross Profit	2,228	23.0	2,800	26.5	3,755	39.2	(20.4)	(40.7)
Operating Expenses	(1,290)	(13.3)	(1,135)	(10.8)	(1,292)	(13.5)	13.6	(0.2)
Operating Income	938	9.7	1,665	15.8	2,462	25.7	(43.7)	(61.9)
Net Non-operating Income	1,947	20.1	376	3.6	445	4.6	417.6	337.3
Income before Income Tax	2,885	29.8	2,041	19.3	2,907	30.4	41.3	(0.8)
Net Income	2,388	24.7	1,623	15.4	2,479	25.9	47.1	(3.7)
Diluted EPS (NT$)	1.44		0.98		1.47		46.9	(2.0)

Yearly Operating Results Comparison

Amount : NT$Million	2023		2022		YoY
Selected Items from Statements of Comprehensive Income	Amount	%	Amount	%	%
Net Revenue	38,273	100.0	51,694	100.0	(26.0)
Cost of Revenue	(27,827)	(72.7)	(27,771)	(53.7)	0.2
Gross Profit	10,446	27.3	23,924	46.3	(56.3)
Operating Expenses	(4,672)	(12.2)	(6,117)	(11.8)	(23.6)
Operating Income	5,774	15.1	17,807	34.5	(67.6)
Net Non-operating Income	3,060	8.0	1,044	2.0	193.0
Income before Income Tax	8,834	23.1	18,851	36.5	(53.1)
Net Income	7,370	19.3	15,280	29.6	(51.8)
Diluted EPS (NT$)	4.43		9.07		(51.2)

Balance Sheets & Key Indices

Amount : NT$ Million

Selected Items from Balance Sheets	Dec. 31, 2023		Sep. 30, 2023		Dec. 31, 2022	
	Amount	%	Amount	%	Amount	%
Total Assets	**102,450**	**100.0**	**101,565**	**100.0**	**100,940**	**100.0**
Cash & Financial Instruments	38,050	37.1	33,986	33.5	34,843	34.5
Accounts Receivable	5,523	5.4	6,862	6.8	4,962	4.9
Inventories	5,672	5.5	6,394	6.3	5,880	5.8
Total Current Assets	**50,079**	**48.9**	**47,944**	**47.2**	**46,255**	**45.8**
Property, Plant and Equipment	**36,604**	**35.7**	**37,763**	**37.2**	**38,504**	**38.2**
Notes and Accounts Payable	972	0.9	1,099	1.1	1,377	1.4
Accrued Liabilities and Others	19,135	18.7	18,599	18.3	19,717	19.5
Total Current Liabilities	**20,107**	**19.6**	**19,698**	**19.4**	**21,093**	**20.9**
Total Non-current Liabilities	**36,630**	**35.8**	**37,877**	**37.3**	**34,496**	**34.2**
Total Equity	**45,713**	**44.6**	**43,989**	**43.3**	**45,351**	**44.9**

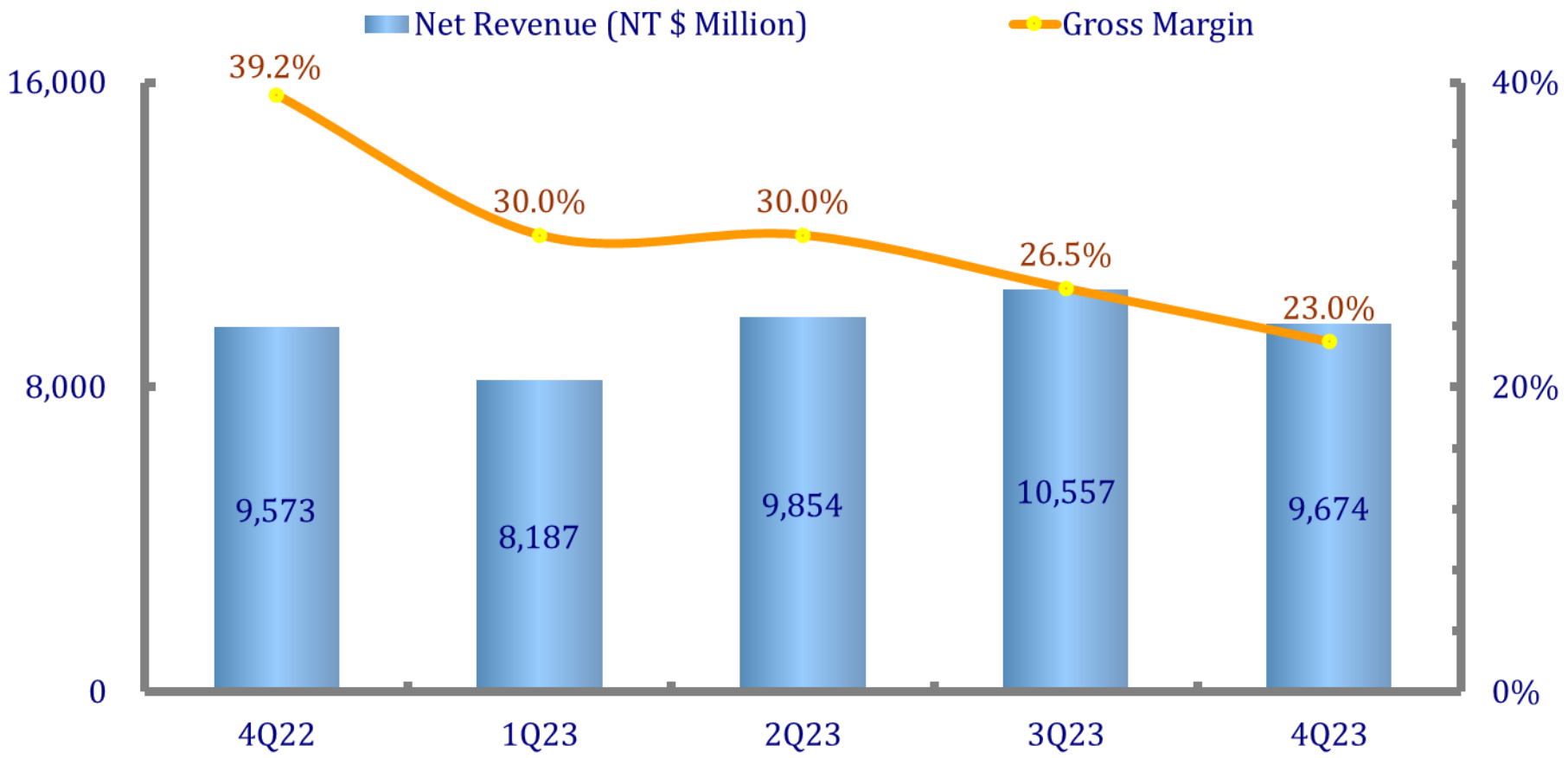
Key Indices			
A/R Turnover Days	**50**	**57**	**51**
Inventory Turnover Days	**76**	**82**	**65**
Debt Ratio	**55%**	**57%**	**55%**
Current Ratio	**249%**	**243%**	**219%**
Net Working Capital	**29,971**	**28,246**	**25,162**

Cash Flows

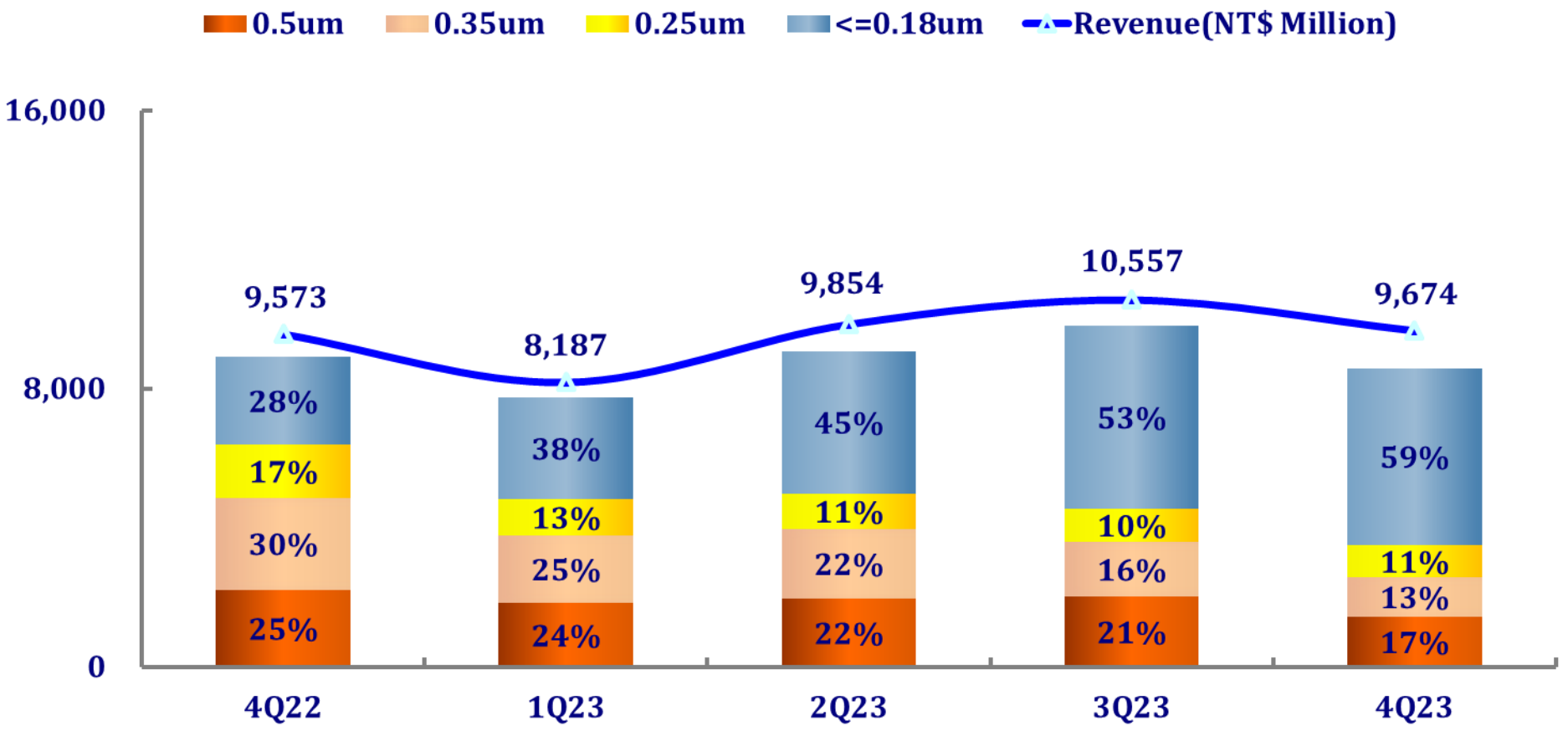
Amount : NT$ Million	4Q23	3Q23	4Q22
Selected Items from Cash Flows	**Amount**	**Amount**	**Amount**
Cash - Beginning of Period	***25,937***	***26,876***	***30,128***
– Income before Income Tax	2,885	2,041	2,907
– Depreciation & Amort.	2,078	2,055	1,510
– Changes of Notes and Accounts Receivable	1,112	(723)	2,431
– Changes of Inventories	722	(40)	(1,036)
– Prepayment from Customers	676	87	284
– Income Taxes Paid	(21)	(26)	(61)
– Changes of Notes and Accounts Payable/ Others	(3,430)	(1,849)	(1,109)
From Operation	**4,022**	**1,546**	**4,926**
– Decrease (Increase) in Financial Assets	339	230	(1,339)
– Acquisitions of PP&E and Intangible Assets	(957)	(1,452)	(2,208)
– Proceeds from Disposal of L-T Stock Investments	405	0	78
– Refundable Deposit and Others	15	24	(817)
From Investment	**(197)**	**(1,198)**	**(4,285)**
– Issuance of Bonds	0	6,000	0
– Increase in Guarantee Deposits Received from Customers	285	12	167
– Cash Dividends	0	(7,375)	0
– Decrease in Lease Liabilities	(62)	(52)	(53)
– Others	0	(41)	0
From Financing	**223**	**(1,457)**	**114**
Net Increase (Decrease) in Cash	**4,048**	**(1,108)**	**754**
Effect of Exchange Rate Changes	(143)	169	(25)
Cash - End of Period	***29,842***	***25,937***	***30,857***

Remarks

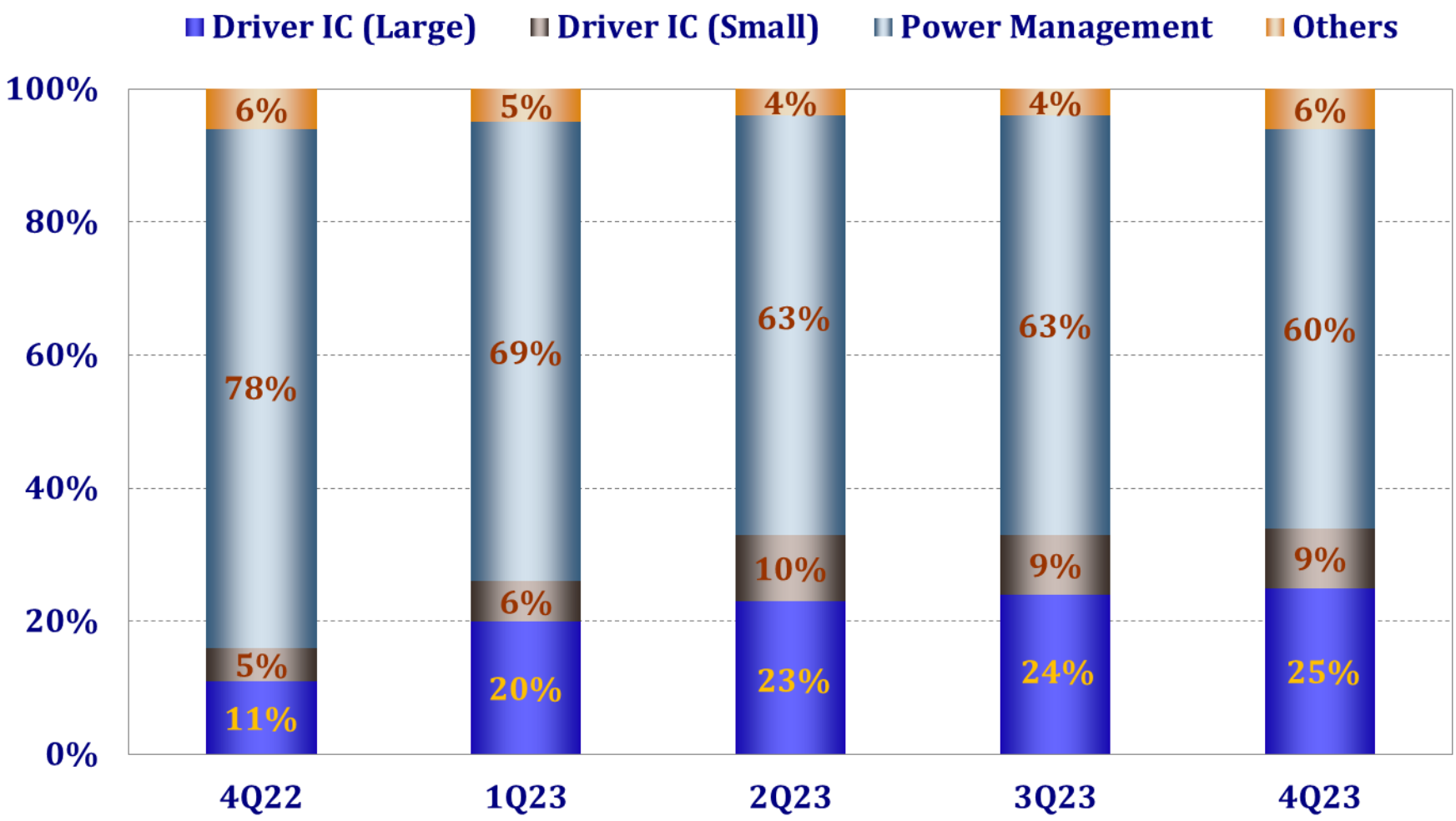
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



4Q23 Result Summary & Guidance Comparison

4Q23	Result	Guidance
Wafer Shipment	-9%	to decrease by 8% to 10% QoQ
Blended ASP	0%	to decrease by 0% to 2% QoQ
Gross Profit Margin	23.0%	to be between 22% and 24%

1Q24 Guidance

- Wafer shipment to decrease by 6% to 8% QoQ;
- Blended ASP to be about flat QoQ;
- Gross profit margin to be between 21% and 23%.

* LTA income (Non wafer revenue) to contribute extra 5% to 6% of revenue.

Q & A

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